THE UNIVERSITY OF MELBOURNE

ACCT90002 Financial Statement Analysis

Week 6: Financial analysis (2)

Framework - Financial Statement Analysis

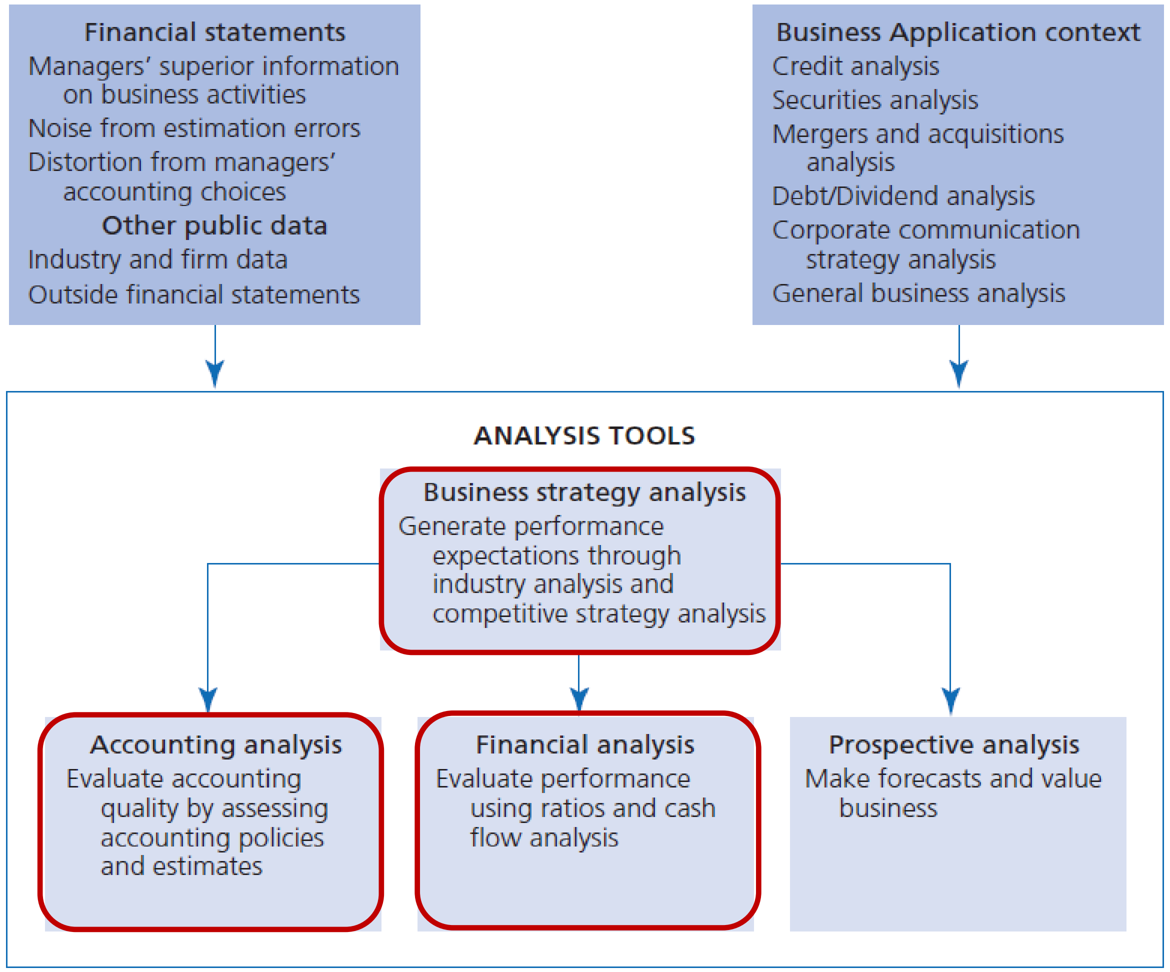


FIGURE 1.3 Analysis using financial statements

Financial analysis

- There are two primary tools in financial analysis:
  - **Ratio analysis** – to assess how various line items in financial statements relate to each other and to measure **relative performance**
  - **Cash flow analysis** – to evaluate **liquidity** and the management of **operating**, **investing**, and **financing** activities as they relate to cash flow

Cash Flow Analysis …

- The ratio analysis previously discussed used accrual accounting
  - "***Cash flow is a fact, while net income is just an opinion***"

- **Cash flow analysis** can provide further insights into **operating**, **investing**, and **financing** activities

- All companies using **IFRS** are required to include a statement of cash flows in their financial statements

Purpose of the cash flow statement

Assist users in:

1. Evaluating an entity's ability to generate cash and cash equivalents, and the timing and certainty of their generation

2. Evaluating an **entity's financial structure** (including liquidity and solvency) and **its ability to meets its obligations** and to pay dividends

3. Understanding the **reasons for the difference** between ***profit and loss for a period*** and the ***net cash flow from operating activities***

4. Comparing the operating performance of different entities

5. Enabling the **development of models** to assess and compare the present value of the future cash flows of different entities

Understanding the Business

Positive cash flows permit a company to . . .

Pay dividends to owners.

Expand its operations.

Take advantage of market opportunities.

Replace needed assets.

Wall Street analysts consider cash flow an important indicator of a company's financial health.

Classifications of the Statement of Cash Flows

Operating Activities → Cash inflows and outflows directly related to earnings from normal operations.

Investing Activities → Cash inflows and outflows related to the acquisition or sale of productive facilities and investments in the securities of other companies.

Financing Activities → Cash inflows and outflows related to external sources of financing (owners and creditors) for the enterprise.

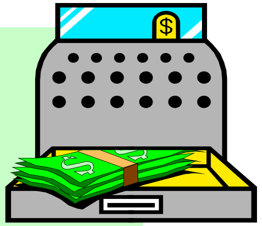
THE UNIVERSITY OF MELBOURNE

Consolidated Cash Flow Statement

For the year ended 30 June 2023

	Notes	2023 $M	2022 $M
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash receipts from customers		21,555	12,236
Cash payments to suppliers and employees		(16,356)	(9,326)
Interest received		128	13
Interest paid (interest-bearing liabilities)		(186)	(186)
Interest paid (lease liabilities)	16(C)	(65)	(66)
Dividends received from investments accounted for under the equity method	14	12	-
Foreign income taxes paid		(3)	(1)
Net cash inflow from operating activities	**28**	**5,085**	**2,670**
CASH FLOWS FROM INVESTING ACTIVITIES			
Payments for property, plant and equipment and intangible assets		(2,563)	(906)
Interest paid and capitalised on qualifying assets	8	(31)	(15)
Proceeds from disposal of property, plant and equipment, net of costs		11	801
Proceeds from disposal of shares in investments accounted for under the equity method		33	-
Payments for investments accounted for under the equity method	14	(75)	(66)
Payments for acquisition of subsidiary, net of cash acquired		-	(54)
Net cash outflow from investing activities		**(2,625)**	**(240)**
CASH FLOWS FROM FINANCING ACTIVITIES			
Payments for share buy-back		(1,000)	-
Payments for treasury shares		(103)	(2)
Proceeds from interest-bearing liabilities, net of costs	21(D)	826	491
Repayments of interest-bearing liabilities	21(D)	(1,669)	(1,441)
Repayments of lease liabilities	16(C)	(690)	(363)
Proceeds from lease receivables		8	6
Dividends paid to non-controlling interests		-	(1)
Net cash outflow from financing activities		**(2,628)**	**(1,310)**
Net (decrease)/increase in cash and cash equivalents held		**(168)**	**1,120**
Cash and cash equivalents at the beginning of the year		3,343	2,221
Effects of exchange rate changes on cash and cash equivalents		(4)	2
Cash and cash equivalents at the end of the year	**21(A)**	**3,171**	**3,343**

Cash Flows from Operating Activities



Inflows

Cash received from:

- Customers
- Dividends and interest on investments

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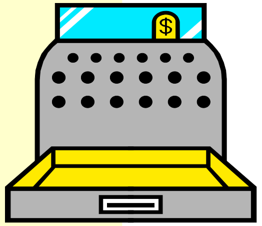
Outflows

Cash paid for:

- Purchase of goods for resale and services (electricity, etc.)
- Salaries and wages
- Income taxes
- Interest on liabilities



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Cash Flows from Operating Activities

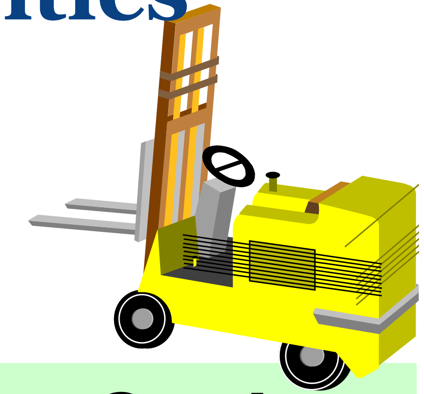
Direct Method vs. Indirect Method

Two Formats for Reporting Operating Activities

Direct Method	Indirect Method
Reports the cash effects of each operating activity	Starts with accrual net income and converts to cash basis

Note that no matter which format is used, the same amount of net cash flows from operating activities is generated.

Cash Flows from Investing Activities



Inflows

Cash received from:

- Sale or disposal of property, plant and equipment
- Sale or maturity of investments in securities

Outflows

Cash paid for:

- Purchase of property, plant and equipment
- Purchase of investments in securities

+

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Cash Flows from Investing Activities

Cash Flows from Financing Activities

Inflows

Cash received from:

- Borrowings on notes, mortgages, bonds, etc. from creditors
- Issuing stock to owners

Outflows

Cash paid for:

- Repayment of principal to creditors (excluding interest, which is an operating activity)
- Repurchasing stock from owners
- Dividends to owners

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Cash Flows from Financing Activities

THE BOSTON BEER COMPANY, INC.
CONSOLIDATED STATEMENT OF CASH FLOWS

(in thousands) (unaudited)	Three months ended March 27, 20X4
Cash flows from operating activities:	
Net income	$ 1,271
Adjustments to reconcile net income to net cash provided by operating activities:	
Depreciation	2,543
Changes in assets and liabilities:	
Accounts receivable	861
Inventory	-577
Prepaid expense	-322
Accounts payable	-52
Accrued expenses	-954
Net cash provided by operating activities	2,770
Cash flows for investing activities:	
Purchases of property, plant and equipment	(2,373)
Purchase of short-term investments	(4,627)
Net cash provided by investing activities	(7,000)
Cash flows from financing activities:	
Purchase of treasury stock	(4,409)
Proceeds from issuance of stock	5,593
Net cash used in financing activities	1,184
Net increase (decrease) in cash & cash equivalents	(3,046)
Cash & cash equivalents at beginning of period	27,792
Cash & cash equivalents at end of period	$ 24,746

Boston Beer uses the indirect method.

The indirect method is used by 98.3% of companies.

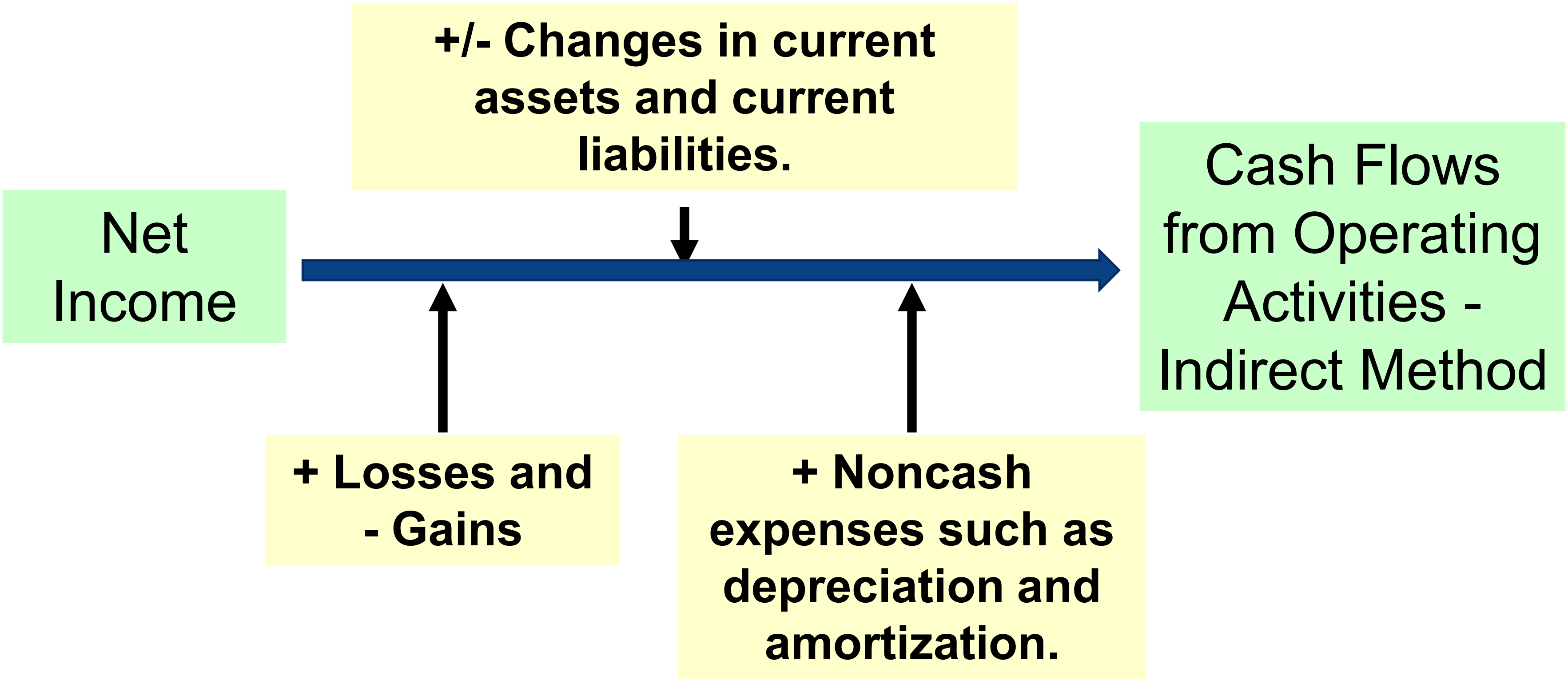
This ending cash balance should agree with the balance sheet.

Relationships to the Balance Sheet and the Income Statement

Selected Cash Transactions and Their Effect on Other Balance Sheet Accounts			
Category	**Transactions**	**Cash Effect**	**Other Account Affected**
Operating	Collect accounts receivable	+Cash	-Accounts Receivable (A)
	Pay accounts payable	-Cash	-Accounts Payable (L)
	Prepay rent	-Cash	+Prepaid Rent (A)
	Pay interest	-Cash	-Retained Earnings (SE)
	Sale for cash	+Cash	+Retained Earnings (SE)
Investing	Purchase equipment for cash	-Cash	+Equipment (A)
	Sell investment securities for cash	+Cash	-Investments (A)
Financing	Pay back debt to bank	-Cash	-Notes Payable-Bank (L)
	Issue stock for cash	+Cash	+Common Stock and Paid-in-Capital (SE)

Reporting Cash Flows from Operating Activities—Indirect Method

The indirect method adjusts net income by eliminating noncash items.



Reporting Cash Flows from Operating Activities—Indirect Method

	Change in Account Balance During Year	
	Increase	Decrease
Current Assets	Subtract from net income.	Add to net income.
Current Liabilities	Add to net income.	Subtract from net income.

Use this table when adjusting Net Income to Operating Cash Flows using the indirect method.

THE BOSTON BEER COMPANY, INC.
CONSOLIDATED BALANCE SHEET

(Unaudited) In Thousands	March 27, 20X4	Dec. 27, 20X3	Changes
ASSETS			
Current assets:			
Cash & cash equivalents	$ 24,746	$ 27,792	(3,046)
Short-term investments	19,725	15,098	4,627
Accounts Receivable	9,571	10,432	(861)
Inventories	10,467	9,890	577
Prepaid expenses	1,448	1,126	322
Total current assets	65,957	64,338	
Equipment, net	16,889	17,059	(170)
Total assets	$ 82,846	$ 81,397	
LIABILITIES & STOCKHOLDERS' EQUITY			
Current liabilities:			
Accounts payable	$ 6,343	$ 6,395	-52
Accrued expenses	14,550	15,504	-954
Total current liabilities	20,893	21,899	
Stockholders' Equity:			
Contributed capital	24,107	22,923	1,184
Retained earnings	37,846	36,575	1,271
Total stockholders' equity	61,953	59,498	
Total liabs & stockholders' equity	$ 82,846	$ 81,397	

THE BOSTON BEER COMPANY, INC.
CONSOLIDATED STATEMENT OF INCOME

(Unaudited) In Thousands	Three months ended March 27, 20X4
Net sales	$ 44,655
Cost of sales	18,073
Gross profit	26,582
Operating expenses:	
Selling, general and administrative	22,188
Depreciation and amortization	2,543
Total operating expenses	24,731
Operating income	1,851
Interest income	192
Income before provision for income taxes	2,043
Provision for income taxes	772
Net income	$1,271

The Statement of Cash Flows will begin with Boston Beer's Net income from the Income Statement.

THE BOSTON BEER COMPANY, INC.
CONSOLIDATED STATEMENT OF CASH FLOWS

(Unaudited) In thousands	Three months ended March 27, 20X4
Cash flows from operating activities:	
Net income	$ 1,271
Adjustments to reconcile net income to net cash provided by operating activities:	
Depreciation	2,543
Changes in assets and liabilities:	
Accounts receivable decrease	861
Inventory increase	-577
Prepaid expense increase	-322
Accounts payable decrease	-52
Accrued expenses decrease	-954
Net cash provided by operating activities	$ 2,770

	Change in Account Balance During Year	
	Increase	Decrease
Current Assets	Subtract from net income.	Add to net income.
Current Liabilities	Add to net income.	Subtract from net income.

Reporting Cash Flows from Operating Activities—Direct Method

	Sales revenue
+	Decrease in accounts receivable
-	Increase in accounts receivable
=	**Cash collected from customers**

	Interest/Dividend revenue
+	Decrease in interest/dividends receivable
-	Increase in interest/dividends receivable
=	**Collections of interest/dividends on investments**

	Cost of goods sold
+	Increase in inventory
-	Decrease in inventory
-	Increase in accounts payable
+	Decrease in accounts payable
=	**Cash payments to suppliers**

	Other expenses
+	Increase in prepaid expenses
-	Decrease in prepaid expenses
-	Increase in accrued expenses
+	Decrease in accrued expenses
=	**Cash paid for expenses**

	Income tax expense
+	Increase in prepaid income taxes
-	Decrease in prepaid income taxes
-	Increase in income taxes payable
+	Decrease in income taxes payable
=	**Payments of income taxes**

Reporting Cash Flows from Operating Activities—Direct Method

$ 44,655	**Sales revenue**
861	Decrease in accounts receivable
n/a	Increase in accounts receivable
$ 45,516	**Cash collected from customers**

$ 192	**Interest/Dividend revenue**
n/a	Decrease in interest/dividends receivable
n/a	Increase in interest/dividends receivable
$ 192	**Collections of interest/dividends on investments**

$ 18,073	**Cost of goods sold**
577	Increase in inventory
n/a	Decrease in inventory
n/a	Increase in accounts payable
52	Decrease in accounts payable
$ 18,702	**Cash payments to suppliers**

$ 22,188	**Other expenses**
322	Increase in prepaid expenses
n/a	Decrease in prepaid expenses
n/a	Increase in accrued expenses
954	Decrease in accrued expenses
$ 23,464	**Cash paid for expenses**

$ 772	**Income tax expense**
n/a	Increase in prepaid income taxes
n/a	Decrease in prepaid income taxes
n/a	Increase in income taxes payable
n/a	Decrease in income taxes payable
$ 772	**Payments of income taxes**

THE BOSTON BEER COMPANY, INC.

CONSOLIDATED STATEMENT OF CASH FLOWS

(Unaudited) In thousands		Three months ended March 27, 20X4
Cash flows from operating activities:		
Cash collected from customers	$	45,516
Cash collected from interest		192
Cash payments to suppliers		-18,702
Cash payments for expenses		-23,464
Cash payments for income taxes		-772
Net cash provided by operating activities	$	2,770

Remember that when we prepared the operating section using the indirect method, we also arrived at net cash inflow of $2,770.

Adjustment for Gains and Losses

Transactions that cause gains and losses should be classified on the cash flow statement as operating, investing, or financing activities, depending on their dominate characteristics. For example, if the sale of equipment produced a gain, it would be classified as an investing activity.

Gains → **Gains must be subtracted from net income to avoid double counting the gain.**

Losses → **Losses must be added to net income to avoid double counting the loss.**

Interpreting Cash Flows from Operating Activities

Accounts Receivable Changes

Managers sometimes attempt to boost declining sales by extending credit terms or by lowering credit standards. The resulting increase in accounts receivable can cause net income to outpace cash flows from operations.

Inventory Changes

Inventory growth can be a sign that planned sales growth did not materialize. A decline in inventory can be a sign that the company is anticipating lower sales in the next quarter.

CFS direct vs. indirect —Kathmandu

Consolidated Statement of Cash Flows

For the Year Ended 31 July 2018

	Section	2018 NZ$'000	2017 NZ$'000
Cash flows from operating activities			
Cash was provided from:			
Receipts from customers		502,703	444,100
Income tax received		156	-
Interest received		47	28
		502,906	444,128
Cash was applied to:			
Payments to suppliers and employees		406,508	360,122
Income tax paid		18,710	14,571
Interest paid		2,087	2,162
		427,305	376,855
Net cash inflow from operating activities		75,601	67,273

Direct method

Reconciliation of net profit after taxation with cash inflow from operating activities

	Section	2018 NZ$'000	2017 NZ$'000
Profit after taxation		50,532	38,039
Movement in working capital:			
(Increase) / decrease in trade and other receivables		5,272	(1,249)
(Increase) / decrease in inventories		(13,873)	6,283
Increase / (decrease) in trade and other payables		10,884	5,596
Increase / (decrease) in tax liability		6,405	2,257
		8,688	12,887
Add non cash items:			
Depreciation	3.2	11,576	10,630
Amortisation of intangibles	3.3	3,575	3,196
Foreign currency translation of working capital balances		(431)	(816)
Increase / (decrease) in deferred taxation		(1,944)	733
Employee share based remuneration	6.4	1,489	1,139
Loss on sale of property, plant and equipment	3.2	2,116	1,465
		16,381	16,347
Cash inflow from operating activities		75,601	67,273

Indirect method

Analysing operating cash flow

Issues to consider:

- ability to generate future operating cash flows

– how to finance operations and expansion

- how to pay dividends

- trends in components

- cash consequences of investing and financing

- ‘Free’ cash flow

Analysing operating cash flow

When analysing cash flow it is important to understand the relationship between Net Income and Cash Flow from Operations:

Accrual accounting (Income Statement):

revenues

expenses

Operating cash flows (Cash Flow Statement):

cash inflows

cash outflows

Analysing operating cash flow

Association between NI and CF

- Net Income = Cash Flow + Accruals

Or

- Accruals = Net Income – Cash Flow

  –Iron law of accruals ('accruals will reverse')

Analysis Implications of Operating Cash Flows

Interpreting Cash Flows and Net Income

GOULD CORPORATION

Comparison of Accrual and Cash Reporting

	Income Statement	Operating Cash Flows	
Sales	$660,000	$651,000	Cash collections from customers
Gain on sale of asset	5,000		
	665,000	651,000	Total cash collections
Cost of goods sold	(363,000)	(362,000)	Payments to suppliers
Operating expenses	(183,000)	(176,000)	Payments for expenses
Depreciation and amortization	(35,000)		
Net income	$ 84,000	$113,000	Cash from operations

Analysis Implications of Operating Cash Flows

Interpreting Cash Flows and Net Income

- An **income statement** records revenues when earned and expenses when incurred.
  - It does not show the timing of cash inflows and outflows, nor the effect of operations on liquidity and solvency.
  - This information is available in the SCF.
- **Cash flows from operations (CFO)** is a broader view of operating activities than is net income.
  - It is **not a measure of profitability**.
- **Note: A net measure, be it net income or cash flows from operations, is of limited usefulness. The key is information about <u>components</u> of these net measures.**

<u>Cash flow is a fact, while net income is just an opinion</u>

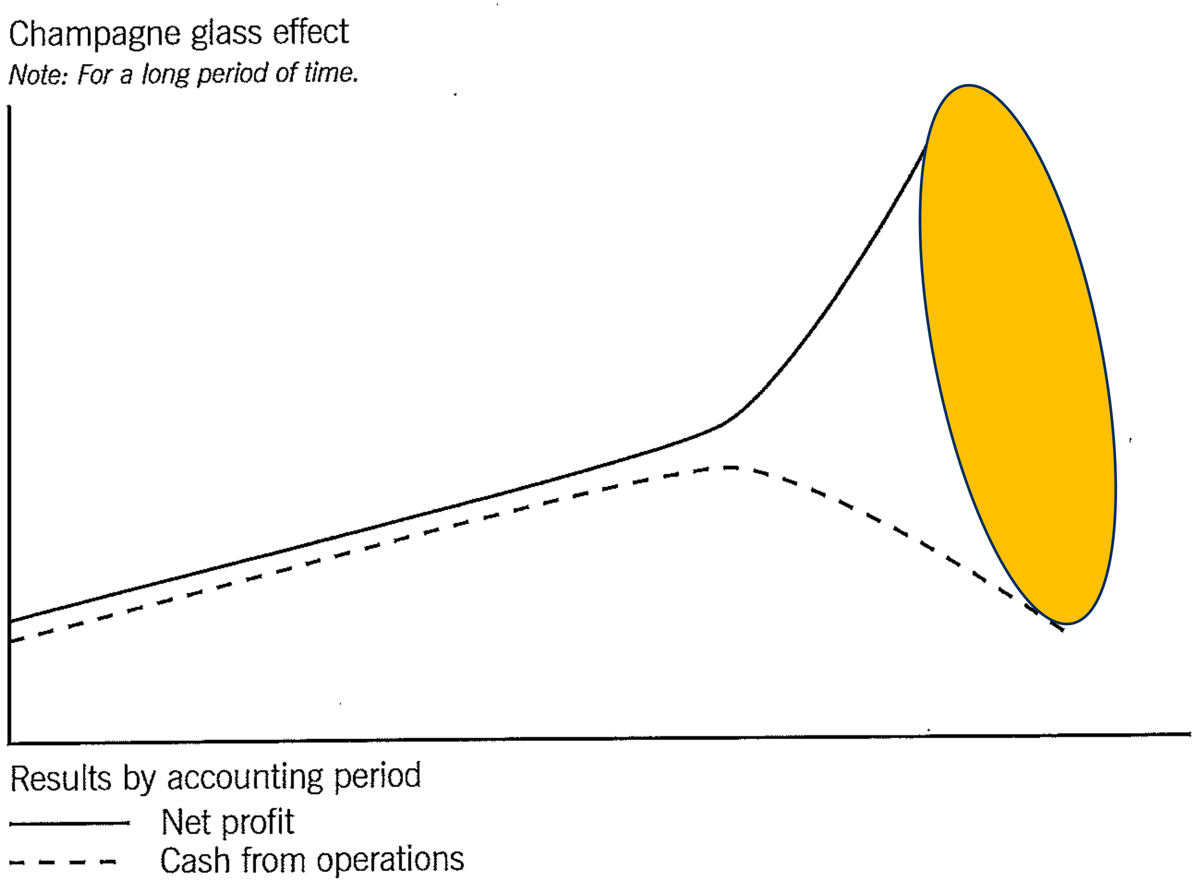
Analysis Implications of Operating Cash Flows

Interpreting Cash Flows and Net Income

- Accounting accruals, when determining net income, rely on estimates, deferrals, allocations, and valuations.
  - **i.e. Subjectivity**
- Note: CFO effectively serves as a **check** on net income, but is **not** a substitute for net income.
- CFO excludes elements of revenues and expenses not currently affecting cash – example: changes in Accounts Receivable
  - Analysis of operations and profitability should not proceed without considering these elements.

<u>Cash flow is a fact, while net income is just an opinion</u>

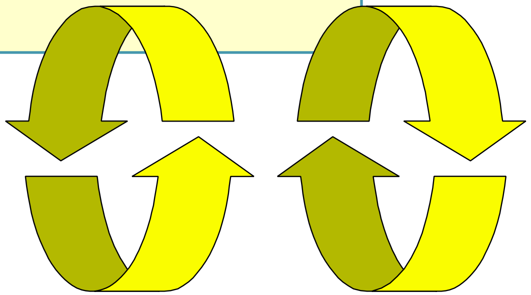
Champagne Glass effect – divergence of Net Income and CFO



Quality of Income Ratio

$$\text{Quality of Income Ratio} = \frac{\text{Cash Flow from Operating Activities}}{\text{Net Income}}$$

In general, this ratio measures the portion of income that was generated in cash. All other things equal, a higher quality of income ratio indicates greater ability to finance operating and other cash needs from operating cash inflows.



Analysis of Investing Cash Flows

In evaluating sources and uses of cash, the analyst should focus on questions like:

- Are asset replacements financed from internal or external funds?
- What are the financing sources of expansion and business acquisitions?
- Is the company dependent on external financing?
- What are the company's investing demands and opportunities?
- What are the requirements and types of financing?
- Are managerial policies (such as dividends) highly sensitive to cash flows?

THE UNIVERSITY OF MELBOURNE

THE BOSTON BEER COMPANY, INC.
CONSOLIDATED BALANCE SHEET

(Unaudited) In Thousands	March 27, 20X4	Dec. 27, 20X3	Changes
ASSETS			
Current assets:			
Cash & cash equivalents	$ 24,746	$ 27,792	(3,046)
Short-term investments	19,725	15,098	4,627
Accounts Receivable	9,571	10,432	(861)
Inventories	10,467	9,890	577
Prepaid expenses	1,448	1,126	322
Total current assets	65,957	64,338	
Equipment, net	16,889	17,059	(170)
Total assets	$ 82,846	$ 81,397	
LIABILITIES & STOCKHOLDERS' EQUITY			
Current liabilities:			
Accounts payable	$ 6,343	$ 6,395	-52
Accrued expenses	14,550	15,504	-954
Total current liabilities	20,893	21,899	
Stockholders' Equity:			
Contributed capital	24,107	22,923	1,184
Retained earnings	37,846	36,575	1,271
Total stockholders' equity	61,953	59,498	
Total liabs & stockholders' equity	$ 82,846	$ 81,397	

Here is the balance sheet we looked at earlier.

Let's focus on the investing accounts.

THE BOSTON BEER COMPANY, INC.	
CONSOLIDATED STATEMENT OF CASH FLOWS	
(in thousands)	Three months end
(unaudited)	March 27, 20X4
Cash flows from operating activities:	
Net income	1271
Adjustments to reconcile net income to net cash	
provided by operating activities:	
Depreciation	2543
Changes in assets and liabilities:	
Accounts receivable	861
Inventory	-577
Prepaid expense	-322
Accounts payable	-52
Accrued expenses	-954
Net cash provided by operating activities	2770
Cash flows for investing activities:	
Purchases of property, plant and equipment	**(2,373)**
Purchase of short-term investments	**(4,627)**
Net cash provided by investing activities	**(7,000)**
Cash flows from financing activities:	
Purchase of treasury stock	-4409
Proceeds from issuance of stock	5593
Net cash used in financing activities	1184
Net increase (decrease) in cash & cash equivalents	-3046
Cash & cash equivalents at beginning of period	27792
Cash & cash equivalents at end of period	24746

The balance sheet indicates that Equipment decreased by $170 during the quarter.

If you had access to additional company information, you would discover that the company purchased $2,373 of new equipment. This is offset by $2,543 in depreciation expense (see the Cash Flows from Operating Activities).

THE BOSTON BEER COMPANY, INC.
CONSOLIDATED STATEMENT OF CASH FLOWS

(in thousands) (unaudited)	Three months ended March 27, 20X4
Cash flows from operating activities:	
Net income	$ 1,271
Adjustments to reconcile net income to net cash provided by operating activities:	
Depreciation	2,543
Changes in assets and liabilities:	
Accounts receivable	861
Inventory	-577
Prepaid expense	-322
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Net cash provided by investing activities	(7,000)
Cash flows from financing activities:	
Purchase of treasury stock	(4,409)
Proceeds from issuance of stock	5,593
Net cash used in financing activities	1,184
Net increase (decrease) in cash & cash equivalents	(3,046)
Cash & cash equivalents at beginning of period	27,792
Cash & cash equivalents at end of period	$ 24,746

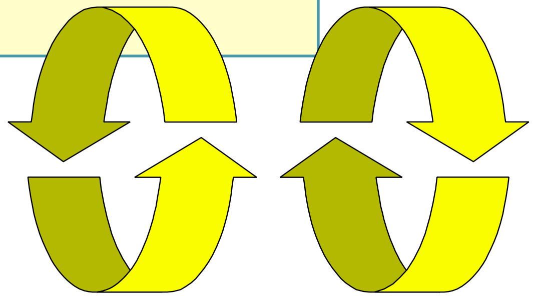
Short-term investments increased by $4,627 during the quarter.

Although short-term investments is a current asset, it is reported in the investing section on the statement of cash flows.

Capital Acquisition Ratio

$$\text{Capital Acquisition Ratio} = \frac{\text{Cash Flow from Operating Activities}}{\text{Cash Paid for Property, Plant, and Equipment}}$$

In general, this ratio reflects the portion of purchases of property, plant and equipment financed from operating activities. A high ratio indicates less need for outside financing for current and future expansions.



Analysis of Financing Cash Flows

Cash Flow as Validators

- The CFS is useful in identifying misleading or erroneous operating results or expectations.

CFS provides us with important clues on:

✓Feasibility of financing capital expenditures.
✓Cash sources in financing expansion.
✓Dependence on external financing.
✓Future dividend policies.
✓Ability in meeting debt service requirements.
✓Financial flexibility to unanticipated needs/opportunities.
✓Financial practices of management.
✓Quality of earnings.

THE BOSTON BEER COMPANY, INC.
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Current liabilities:			
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Total current liabilities	20,893	21,899	
Stockholders' Equity:			
Contributed capital	24,107	22,923	1,184
Retained earnings	37,846	36,575	1,271
Total stockholders' equity	61,953	59,498	
Total liabs & stockholders' equity	$ 82,846	$ 81,397	

Here is the balance sheet we looked at earlier.

Let's focus on the financing account.

THE BOSTON BEER COMPANY, INC.
CONSOLIDATED STATEMENT OF CASH FLOWS

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Proceeds from issuance of stock	5,593
Net cash used in financing activities	1,184
Net increase (decrease) in cash & cash equivalents	(3,046)
Cash & cash equivalents at beginning of period	27,792
Cash & cash equivalents at end of period	$ 24,746

The net increase in Contributed Capital of $1,184 was caused by two transactions.

First, Boston Beer repurchased $4,409 of outstanding stock, which is a cash outflow.

Second, the company issued common stock to employees for $5,593, which is a cash inflow.

Interpreting Cash Flows from Financing Activities

The long-term growth of a company is normally financed from three sources: internally generated funds, the issuance of stock, and money borrowed on a long-term basis.

The statement of cash flows shows how management has elected to fund its growth. This information is used by analysts who wish to evaluate the capital structure and growth potential of a business.

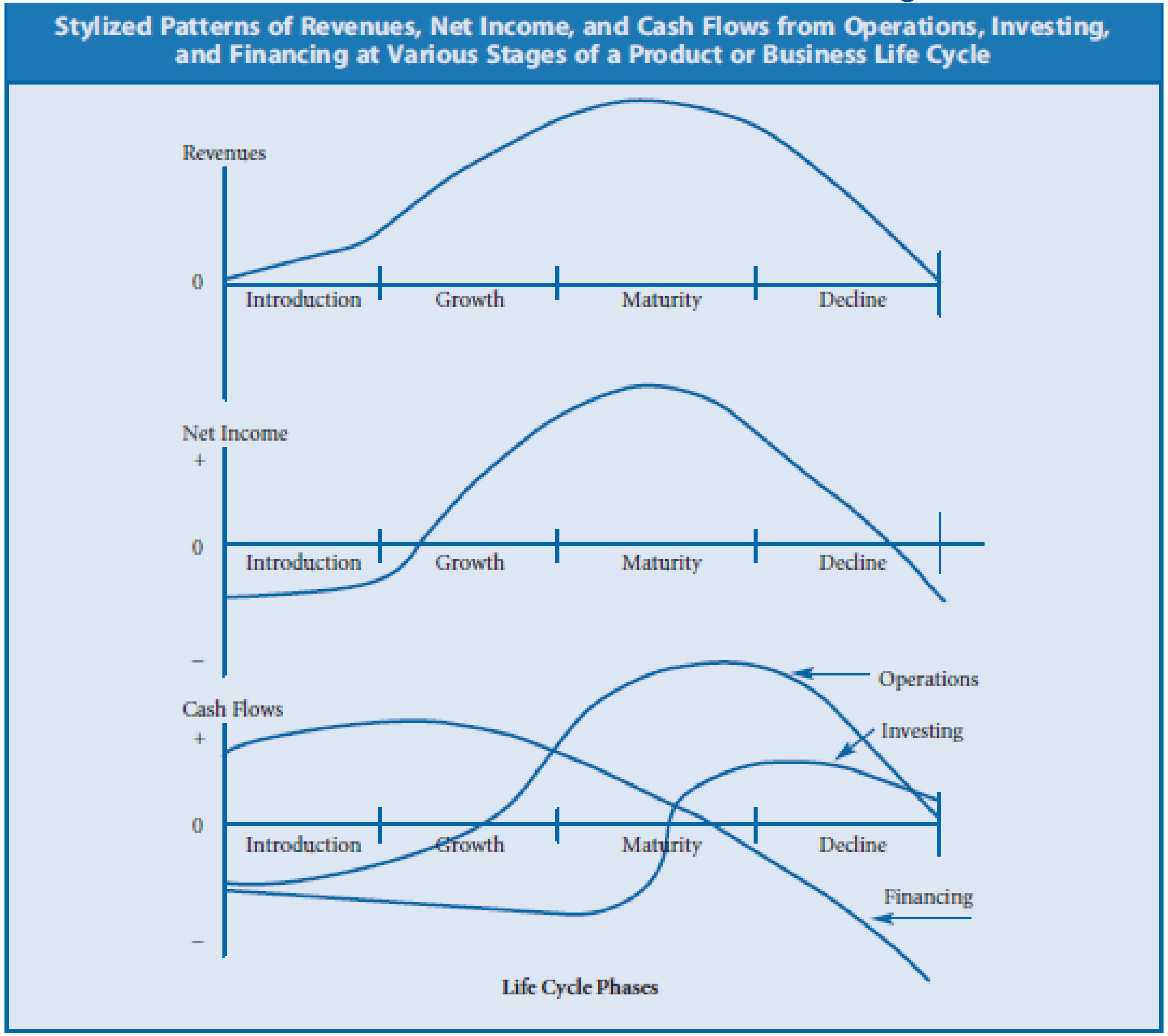
Other Measures of Cash Flow

- **Free cash flow (FCF):**
  - the cash that a company is able to generate ***after*** spending the money required to maintain/expand the company's asset base
- Difference between **cash flow from operations** and **cash investment in operations**

Free Cash Flow = CFO – CFI

- Important as it allows an analyst to assess a company's ability to pursue opportunities that enhance shareholder value
- **Also:** Discounted cash flow (DCF) analysis relies on future Free Cash Flows to estimate firm value.
- Positive free cash flow reflects the amount available for business activities after allowances for financing and investing requirements to maintain productive capacity at current levels.
- Growth and financial flexibility depend on adequate free cash flow

Free cash flows and the life cycle of a firm



THE UNIVERSITY OF
MELBOURNE

Mid-semester Exam
Next week

No classes next week